

**Auditor's Report and
Audited Financial Statements
of
Bangladesh Infrastructure Finance Fund Limited
For the year ended 31 December, 2017**

**Independent Auditors' Report
to the shareholders of
Bangladesh Infrastructure Finance Fund Limited**

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited ("the Company"), which comprises the Balance sheet as at 31 December 2017, and the Profit & Loss account, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the Company that give a true and fair view in accordance with Bangladesh Financial Reporting Standards (BFRS) as explained in note 2.01, the Financial Institution Act 1993, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchange Rules 1987, the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements of the financial statements of the Company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements of the Company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements of the Company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the Company. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements of the Company, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements of the Company that give a true and fair view and design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the Company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements of the Company give a true and fair view of the Balance sheet of the Company as at 31 December 2017, and of its financial performance and cash flows for the year then ended in accordance with Bangladesh Financial Reporting Standards (BFRS) as explained in note 2.01 and comply with the Financial Institution Act 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act 1994 and other applicable laws and regulations.

Report on Other Legal and Regulatory Requirements

We also report that:

- i) we have obtained all the information and explanation which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof and found satisfactory;
- ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;
- iii) the balance sheet and profit and loss of the Company together with annexed notes from 1 to 45 dealt with by the report are in agreement with the books of account and returns;
- iv) the expenditure incurred was for the purpose of the Company's business;
- v) the financial statements of the Company have been drawn up in conformity with the Financial Institution Act 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank to the extent applicable to the Company;
- vi) adequate Provisions have been made for leases loans and advances and other assets which are doubtful of recovery;
- vii) statements sent to Bangladesh Bank has been checked on sample basis and no inaccuracy has come to our attention;
- viii) taxes and other duties collected and deposited to Government treasury by the company as per Government instructions found satisfactory;
- ix) nothing has come to our attention that the company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturity of assets & liabilities;
- x) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions issued by Bangladesh Bank & other regulatory authorities have been found complied;
- xi) the internal control and compliance of the company is satisfactory, and effective measures have been taken to prevent possible fraud, forgery and internal policies are being followed;
- xii) the Company has complied with relevant laws pertaining to capital, reserve & net worth, cash & liquid assets and procedure for sanctioning & disbursing loans/leases found satisfactory;
- xiii) the financial statements of the Company conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- xiv) we have reviewed over 80% of the risk weighted assets of the Company during the course of our audit and we have spent over 1,118 person-hours for the audit of books and accounts of the Company;

Place : Dhaka
Dated: March 11, 2018

Syful Shamsul Alam & Co.
Syful Shamsul Alam & Co.
Chartered Accountants
SSAC

Bangladesh Infrastructure Finance Fund Ltd.

Balance Sheet

As at 31 December 2017

Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
PROPERTY AND ASSETS			
Cash	3	41,297,117	58,603,882
In hand (including foreign currencies)		100,566	478,374
Balance with Bangladesh Bank and its agents (including foreign currencies)		41,196,551	58,125,508
Balance with other banks and financial institutions	4	9,402,286,152	11,353,250,610
Inside Bangladesh		9,402,286,152	11,353,250,610
Outside Bangladesh		-	-
Money at call and short notice	5	60,000,000	-
Investments	6	2,497,603,687	2,505,544,789
Government		-	-
Others		2,497,603,687	2,505,544,789
Leases, loans and advances	7	10,719,748,885	7,790,365,136
Bills purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	266,993,173	296,379,847
Other assets	10	2,834,455,153	2,426,109,706
Non-financial institutional assets	11	-	-
TOTAL PROPERTY AND ASSETS		25,822,384,167	24,430,253,970
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	3,473,688	4,385,528
Deposits and other accounts	13	-	-
Current deposits and other accounts		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	3,174,767,055	2,435,832,316
Total Liabilities		3,178,240,743	2,440,217,844
Capital / Shareholders' equity		22,644,143,424	21,990,036,126
Paid up capital	15	20,590,000,000	20,100,000,000
Statutory reserve	16	1,402,828,685	1,242,007,225
Other reserve	17	-	-
Retained earnings	18	651,314,740	648,028,901
TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY		25,822,384,167	24,430,253,970

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Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities		-	-
Acceptances and endorsements		-	-
Letter of guarantee		-	-
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
TOTAL OFF-BALANCE SHEET ITEMS INCLUDING CONTINGENT LIABILITIES		-	-

The annexed notes form an integral part of these financial statements.



Chief Financial Officer



Company Secretary



Executive Director & CEO



Director



Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
March 11, 2018



Syful Shamsul Alam & Co.
Chartered Accountants
SSAC

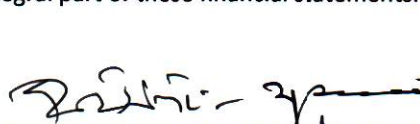
Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2017

Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
Interest income from leases, loans and advances	20	748,241,004	412,661,561
Interest expenses on deposits & borrowings etc	21	3,232,010	36,272,212
Net interest income		745,008,995	376,389,349
Investment income	22	175,222,608	111,305,553
Commission, exchange and brokerage		-	-
Other operating income	23	729,908,798	1,059,607,290
Total operating income		1,650,140,401	1,547,302,192
Salary and allowances	24	39,034,424	25,482,859
Rent, taxes, insurance, electricity etc.	25	3,663,665	5,228,062
Legal expenses	26	728,641	2,691,756
Postage, stamp, telecommunication etc.	27	1,553,885	2,117,637
Stationery, printing, advertisement etc.	28	4,956,661	8,936,393
Managing Director's salary and allowances	29	9,555,876	9,083,160
Directors' fees	30	1,257,088	1,286,705
Auditors' fees	31	120,050	104,200
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	38,826,235	25,582,091
Other operating expenses	33	26,104,871	20,058,934
Total operating expenses		125,801,396	100,571,797
Profit before provision		1,524,339,005	1,446,730,395
Provision for leases, loans and advances	34	80,858,449	59,936,697
Provision for diminution in value of investments		-	-
Other provision		-	-
Total provision		80,858,449	59,936,697
Total profit before income tax		1,443,480,556	1,386,793,698
Provision for income tax	35	639,373,258	613,378,700
Net profit after tax & provision		804,107,298	773,414,997
Appropriations:			
Statutory reserve	16	160,821,460	154,682,999
Retained surplus		643,285,838	618,731,998
Earnings per share (Restated)	36	3.91	3.76

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Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
March 11, 2018


Syful Shamsul Alam & Co.
Chartered Accountants
SSAC

Bangladesh Infrastructure Finance Fund Limited

Statement of Cash Flows

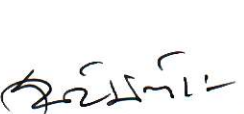
For the year ended 31 December 2017

	Amount in Taka 2017	Amount in Taka 2016
A. CASH FLOW FROM OPERATING ACTIVITIES:		
Interest receipts in cash	748,241,004	412,661,561
Interest payments in cash	(3,230,562)	(36,272,212)
Dividend receipts in cash	46,918,668	20,015,625
Interest receipts in cash from commercial paper & bond	140,257,766	28,437,500
Cash payments to employees	(49,091,705)	(33,482,961)
Cash payments to suppliers	(12,015,796)	(16,282,092)
Income taxes paid	(397,143,090)	(816,773,044)
Receipts from other operating activities	748,123,755	1,059,607,290
Payments for other operating activities	(26,104,871)	(30,794,922)
Cash generated from operating activities	1,195,955,169	587,116,746
Increase/(decrease) in operating assets and liabilities,		
Statutory deposits		
Loans and advances to other banks	-	-
Loans and advances to other customers	(2,929,383,749)	(3,432,096,686)
Other assets	(21,089,193)	149,655,700
Borrowings from bank	(911,840)	(743,731,421)
Deposits from other banks/borrowings	-	-
Other liabilities	(3,375,000)	62,828
	(2,954,759,782)	(4,026,109,580)
Net cash used in operating activities	(1,758,804,613)	(3,438,992,834)
B. CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of property, plant and equipment	(7,407,712)	(169,967,787)
Investment/Proceed from securities	7,941,102	(2,505,544,789)
Net cash from/(used in) investing activities	533,390	(2,675,512,576)
C. CASH FLOW FROM FINANCING ACTIVITIES:		
Dividend paid	(150,000,000)	(120,000,000)
Issuance of shares	-	-
Net cash used in financing activities	(150,000,000)	(120,000,000)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(1,908,271,223)	(6,234,505,410)
E. Effects of exchange rate changes on cash and cash equivalents	-	-
F. Cash and cash equivalents at beginning of the year	11,411,854,492	17,646,359,902
G. Cash and cash equivalents at end of the year (D+E+F)	9,503,583,269	11,411,854,492
Cash and cash equivalents		
Cash in hand	100,566	478,374
Balance with Bangladesh Bank and its agents bank(s)	41,196,551	58,125,508
Balance with other banks and financial institutions	9,402,286,152	11,353,250,610
Money at call and short notice	60,000,000	-
	9,503,583,269	11,411,854,492

The annexed notes form an integral part of these financial statements.


Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2017

Amount in Taka

Particulars	Paid-up Capital (Tk.)	Statutory Reserve (Tk.)	Retained Earnings (Tk.)	Total (Tk.)
Balance as on 1 January, 2016	19,400,000,000	1,087,324,226	849,296,903	21,336,621,129
Net profit for the year	-	-	773,414,997	773,414,997
Dividend paid	-	-	(120,000,000)	(120,000,000)
Issue of share capital	700,000,000	-	(700,000,000)	-
Appropriations made during the year	-	154,682,999	(154,682,999)	-
Balance as on 31 December 2016	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126
Balance as on 1 January, 2017	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126
Net profit for the year	-	-	804,107,298	804,107,298
Dividend paid	-	-	(150,000,000)	(150,000,000)
Issue of share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	160,821,460	(160,821,460)	-
Balance as on 31 December 2017	20,590,000,000	1,402,828,685	651,314,740	22,644,143,424

The annexed notes form an integral part of these financial statements.


Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Ltd.
Liquidity Statement
Asset and Liability Maturity Analysis
as at 31 December 2017

Particulars	Amount in Taka					
	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	100,566	41,196,551	-	-	-	41,297,117
Balance with other banks and financial institutions	1,456,754,967	7,945,531,185	-	-	-	9,402,286,152
Money at call and short notice	60,000,000	-	-	-	-	60,000,000
Investments	-	819,909,091	1,677,694,596	-	-	2,497,603,687
Loans and advances	-	72,916,778	3,361,828,479	7,178,563,782	106,439,846	10,719,748,885
Fixed assets including land, buildings, furniture and fixtures	-	-	2,307,013	13,073,073	251,613,087	266,993,173
Other assets	55,316,293	44,439,806	2,125,841,365	608,857,689	-	2,834,455,153
Non-banking assets	-	-	-	-	-	-
Total Assets- A	1,572,171,826	8,923,993,411	7,167,671,453	7,800,494,544	358,052,933	25,822,384,167
Liabilities						
Borrowing from banks, financial institutions and agents	-	315,789	947,367	2,210,532	-	3,473,688
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	126,447	11,407,890	910,625,848	2,252,606,869	-	3,174,767,055
Total Liabilities- B	126,447	11,723,679	911,573,215	2,254,817,401	-	3,178,240,743
Net Liquidity (Gap)/Excess (A-B)	1,572,045,379	8,912,269,732	6,256,098,237	5,545,677,143	358,052,933	22,644,143,424



Chief Financial Officer



Company Secretary



Executive Director & CEO



Director



Chairman



Bangladesh Infrastructure Finance Fund Ltd.
Notes to the Financial Statements
For the year ended 31 December 2017

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 19.40 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an ex-officio member.

1.1 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.



2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards (IASs)/International Financial Reporting Standards (IFRSs) so far adopted in Bangladesh as Bangladesh Accounting Standards (BASs)/ Bangladesh Financial Reporting Standards(BFRSs) by the Institute of Chartered Accountants of Bangladesh (ICAB), the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh Bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:

As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances

BFRS:

As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.



2.01.04 Financial guarantees

BFRS:

As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.01.05 Cash and cash equivalents

BFRS:

Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Some cash and cash equivalent items such as 'money at call and on short notice', T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:

No indication of non-business assets is found in any BFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 Statement of cash flows

BFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank (CRR)

BFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.



2.01.09 Off balance sheet items

BFRS:

There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

BFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income

BFRS:

As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advances net of provisions

BFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The financial statements of the company include the following components:

1. Statement of Financial Position (Balance Sheet) as at 31 December, 2017.
2. Statement of Comprehensive Income (Profit and Loss A/C) for the year ended 31 December, 2017.
3. Statement of Cash Flows for the year ended 31 December, 2017.
4. Statement of Changes in Equity for the year ended 31 December, 2017.
5. Liquidity Statement as at 31 December, 2017.
6. Notes to the Financial Statements.



2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.



2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.6 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mentioned in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These Financial Statements cover one calendar year from 01 January 2017 to 31 December 2017.

2.07 Presentation and functional currencies

The figures of the Financial Statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, balances held with Bangladesh Bank.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank's guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 31 December, 2017). Unrealized gains on investment was not recognized as income in the Financial Statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.



a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of Financial Position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.08.04 Property, plant and equipment

2.08.04.01 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as Liability.

2.08.04.03 Subsequent expenditure on property, plant and equipment

Subsequent expenditures are capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.



2.08.04.04 Depreciation on property, plant & equipment and intangible assets

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & Land Development	0%
Computer & IT Equipment	33.33%
Office Equipment	20%
Furniture & Fixtures	10%
Motor Vehicles	20%
Building	10%
Civil Construction	50%
Accounting Software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the statement of comprehensive income (profit or loss account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

(a) The company as a lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to income statement on a straight-line basis over the period of the lease.

(ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non-current borrowings. No assets has acquired by the company as a finance lease.

(b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.

2.08.06 Intangible assets

The Company's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite life is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortization is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

<u>Items of intangible Assets</u>	<u>Estimate useful life</u>
Computer software	2 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.



b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

Defined contribution plan

The Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by the Labour Act 2006.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items potential returns are thus calculated and removed (written-off) from the company's balance sheet.

2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit after tax to reserve until such reserve equals to its paid up capital.



2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company; or any present obligation that arises from past events but is not recognised because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated. Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The aggregate lease receivables including unguaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income.

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other operational income

Other operational income is recognized as and when received. Such income comprises of the following:

- a. Appraisal and documentation fees
- b. Commitment fees,
- c. Supervision fees,
- d. Delinquent charge,
- e. Due diligence fees, and
- f. Miscellaneous receipts.



2.14 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh Accounting Standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 36.

Diluted earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of BAS 14 and BFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the financial statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 44 as per Bangladesh Accounting Standards (BAS)-10: 'Events after the reporting period'.

2.19 Compliance report on Bangladesh Accounting Standards (BASs) and Bangladesh Financial Reporting Standards (BFRSs)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	BFRS/ BAS No.	Name of the BFRS/BAS	Status
1	BFRS-1	First Time adoption of IFRS	Not Applicable
2	BFRS-2	Share based payment	Not Applicable
3	BFRS-3	Business combinations	Not Applicable



Sl. No.	BFRS/ BAS No.	Name of the BFRS/BAS	Status
4	BFRS-4	Insurance contracts	Not Applicable
5	BFRS-5	Non-current assets held for sales and discontinued operations	Applied
6	BFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	BFRS-7	Financial instruments disclosures	Applied
8	BFRS-8	Operating segments	Not Applicable
9	BFRS-9	Financial instruments	Applied
10	BFRS-10	Consolidated financial statements	Not Applicable
11	BFRS-11	Joint arrangements	Not Applicable
12	BFRS-12	Discloser of interest in other entities	Not Applicable
13	BFRS-13	Fair value measurement	Applied
14	BAS-1	Presentation of financial statements	Applied
15	BAS-2	Inventories	Not Applicable
16	BAS-7	Cash flow statements	Applied
17	BAS-8	Accounting policies, changes in accounting estimates and errors	Applied
18	BAS-10	Events after the balance sheet date	Applied
19	BAS-11	Construction contract	Not Applicable
20	BAS-12	Income taxes	Applied
21	BAS-14	Segment reporting	Not Applicable
22	BAS-16	Property, plant and equipment	Applied
23	BAS-17	Leases	Applied
24	BAS-18	Revenue	Applied
25	BAS-19	Employee benefits	Applied
26	BAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable
27	BAS-21	The Effects of changes in foreign exchange rates	Applied
28	BAS-23	Borrowing costs	Not Applicable
29	BAS-24	Related party disclosures	Applied
30	BAS-26	Accounting and reporting by retirement benefit plans	Applied
31	BAS-27	Consolidated and separate financial statements	Not Applicable
32	BAS-28	Investments in associates	Not Applicable
33	BAS-31	Interest in joint ventures	Not Applicable
34	BAS-32	Financial instruments: presentation	Applied
35	BAS-33	Earnings per share	Applied
36	BAS-34	Interim financial reporting	Applied
37	BAS-36	Impairment of assets	Not Applied
38	BAS-37	Provision, contingent liabilities and contingent assets	Applied
39	BAS-38	Intangible assets	Applied
40	BAS-39	Financial Instruments: recognition and measurement	Applied
41	BAS-40	Investment property	Not Applicable
42	BAS-41	Agriculture	Not Applicable



2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:



- ✓ Providing forward-looking assessment of risk;
- ✓ Overcoming limitations of models and historical data;
- ✓ Supporting external and internal communication;
- ✓ Feeding into capital and liquidity planning procedures;
- ✓ Informing the setting of an FI's risk tolerance; and
- ✓ Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.



		Amount in Taka	
		2017	2016
3.00 Cash			
Cash in hand (3.1)		100,566	478,374
Balance with Bangladesh Bank and its agents bank(s) (3.2)		41,196,551	58,125,508
		41,297,117	58,603,882
3.1 Cash in hand			
In local currency		100,566	478,374
In foreign currency		-	-
		100,566	478,374
3.2 Balance with Bangladesh Bank and its agents bank(s)			
Balance with Bangladesh Bank		41,196,551	58,125,508
In foreign currency		-	-
		41,196,551	58,125,508
3.3 Balance with Bangladesh Bank			
Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004.			
3.4 Cash Reserve Requirement (CRR)			
CRR has been calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004. Total Term Deposits mean Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions).			
Required reserve		-	-
Actual reserve held		41,196,551	58,125,508
Surplus/(Deficit)		41,196,551	58,125,508
3.5 Statutory Liquidity Reserve (SLR)			
SLR has been calculated at the rate of 5% of total liabilities, including CRR of 2.5% on total term deposits. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.			
Required reserve		1,875,431	13,994,924
Actual reserve held		9,443,482,703	11,371,726,075
Surplus/(Deficit)		9,441,607,272	11,357,731,151
4 Balance with other banks and financial institutions			
Inside Bangladesh			
Current accounts (Note-4.1)		97,917	176,795
Short term deposit accounts (Note-4.2)		121,230,612	39,473,248
Fixed deposit accounts (Note-4.3)		9,280,957,623	11,313,600,567
		9,402,286,152	11,353,250,610
Outside Bangladesh		-	-
		9,402,286,152	11,353,250,610

The company does not maintain any account outside of Bangladesh.

4.1 Current account

One Bank Ltd.
Dutch Bangla Bank Ltd.

Amount in Taka	
2017	2016
33,941	37,166
63,976	139,629
97,917	176,795

4.2 Short term deposit account

One Bank Ltd.
NRB Bank Ltd.
United Commercial Bank Ltd.
Shahjalal Islami Bank Ltd.
Sonali Bank Ltd.

106,892,094	11,354,730
6,869,531	14,022,028
6,507,988	6,235,682
847,535	7,850,222
113,463	10,586
121,230,612	39,473,248

4.3 Fixed deposit accounts

AB Bank Ltd.
First Security Islami Bank Ltd.
NRB Commercial Bank Ltd.
NRB Bank Ltd.
One Bank Ltd.
Midland Bank Ltd.
Union Bank Ltd.
Janata Bank Ltd.
SBAC Bank Ltd.
IDLC Finance Ltd.
Premier Bank Ltd.
Modhumoti Bank Ltd.
Shahjalal Islami Bank Ltd.
City Bank Ltd.
Delta Brac Housing Corp. Ltd.
Meghna Bank Ltd.
EXIM Bank Ltd.
LankaBangla Finance Ltd.
Trust Bank Ltd.
NRB Global bank Ltd.
Farmers Bank Ltd.
Al Arafah Islami Bank Ltd.
National Bank Ltd.
Jamuna Bank Ltd.
Rupali Bank Ltd.
United Commercial Bank Ltd.
Bank Asia Ltd.
International Leasing and Financial Services Ltd.
ICB Islamic Bank Ltd.
IPDC Finance Ltd.
IFIC Bank Ltd.
FAS Finance & Investment Ltd.
First Finance Ltd.
Premier Leasing & Finance Ltd.
Phoenix Finance & Investment Ltd.
Peoples Leasing & Financial Services Ltd.

101,537,010	389,767,033
161,588,125	398,758,075
80,000,001	164,856,022
50,000,000	154,990,832
31,450,064	215,965,998
50,000,000	-
70,959,962	627,952,426
-	-
42,548,302	278,844,537
33,285,436	31,445,160
101,550,000	1,268,161,946
50,000,000	-
80,947,375	71,039,733
100,000,000	-
104,087,150	248,289,606
-	111,080,832
293,177,915	1,001,883,056
200,000,000	259,295,817
-	56,782,548
191,712,904	526,410,574
1,239,241,615	1,011,691,331
-	345,906,479
22,165,896	21,055,032
-	-
-	10,000
61,519,714	392,315,384
21,696,352	186,271,493
711,770,550	301,785,000
582,351,943	537,141,001
-	-
636,743,136	1,313,220,203
519,806,205	200,892,500
181,285,517	175,291,900
150,000,000	250,000,000
-	104,799,806
560,253,865	150,000,000



Amount in Taka		
	2017	2016
NCC Bank Ltd.	135,673,450	91,131,328
BD Finance & Investment Ltd.	130,000,000	-
Social Islami Bank Ltd.	172,341,869	256,564,915
Mercantile Bank Ltd.	70,000,000	50,000,000
Bangladesh Commerce Bank Ltd.	152,038,335	50,000,000
Bay Leasing & Investment Ltd.	52,487,007	-
BIFC Ltd.	518,243,674	70,000,000
Brac Bank Ltd.	50,000,000	-
Fareast Finance & Investment Ltd.	350,000,000	-
Reliance Finance Ltd.	160,000,000	-
Islami Bank Bangladesh Ltd.	230,000,000	-
Meridian Finance & Investment Ltd.	50,000,000	-
Prime Finance & Investment Ltd.	300,000,000	-
Standard Bank Ltd.	80,494,250	-
Union Capital Ltd.	400,000,000	-
	9,280,957,623	11,313,600,567
4.4 Maturity grouping of balance with banks and other financial institutions		
On demand	97,917	176,795
Up to 1 month	1,456,754,967	39,473,248
Over 1 month but not more than 3 months	7,945,531,185	8,485,200,425
Over 3 months but not more than 1 year	-	2,828,400,142
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	9,402,384,070	11,353,250,610
5 Money at call and short notice		
Bangladesh Commerce Bank Ltd.	30,000,000	-
FAS Finance & Investment Ltd.	30,000,000	-
	60,000,000	
6 Investments		
Investment classified as per nature:		
Government bond (Note-6.1)	-	-
Other investments (Note-6.2)	2,497,603,687	2,505,544,789
	2,497,603,687	2,505,544,789
6.1 Government bond		
Treasury bills	-	-
National investment bonds	-	-
Bangladesh Bank bills	-	-
Government notes/bonds	-	-
Others	-	-
6.2 Other investments		
Investment in preference share (6.2.1)	436,363,632	450,000,000
Investment in commercial paper (6.2.2)	1,750,000,000	1,650,000,000
Investment in bond (6.2.3)	311,240,055	405,544,789
	2,497,603,687	2,505,544,789

		Amount in Taka	
		2017	2016
6.2.1 Investment in preference Share			
Summit Barisal Power Ltd.	-	250,000,000	
Summit Narayanganj Power Unit-II Ltd.	-	200,000,000	
Rajlanka Power Company Ltd.	436,363,632	-	
	436,363,632	450,000,000	
6.2.2 Investment in Commercial Paper			
MAX Infrastructure Ltd.	1,000,000,000	400,000,000	
Durable Plastics Ltd.	-	500,000,000	
Energy Pac Engineering Ltd.	-	500,000,000	
Computer Source Ltd.	250,000,000	250,000,000	
LankaBangla Finance Ltd.	500,000,000	-	
	1,750,000,000	1,650,000,000	
6.2.3 Investment in bond			
IDLC zero coupon bond	311,240,055	405,544,789	
	311,240,055	405,544,789	
7 Leases, loans and advances			
a) Inside Bangladesh			
Leases (Note -7.1)	-	-	
Loans	10,719,748,885	7,790,365,136	
Cash credits	-	-	
Overdrafts	-	-	
Sub-total	10,719,748,885	7,790,365,136	
b) Outside Bangladesh	-	-	
Total	10,719,748,885	7,790,365,136	
7.1 Leases	-	-	
7.2 Sector wise leases, loans and advances			
Public sector	4,140,207,975	3,099,044,331	
Co-operative sector	-	-	
Private sector	6,579,540,910	4,691,320,805	
	10,719,748,885	7,790,365,136	
7.3 Residual maturity grouping of leases, loans and advances			
On demand	-	-	
Up to 1 month	-	-	
Over 1 month but not more than 3 months	72,916,778	1,012,747,468	
Over 3 months but not more than 1 year	3,361,828,479	2,492,916,844	
Over 1 year but not more than 5 years	7,178,563,782	2,726,627,798	
Over 5 years	106,439,846	1,558,073,027	
	10,719,748,885	7,790,365,136	



		Amount in Taka	
		2017	2016
7.4 Leases, loans and advances on the basis of significant concentration			
a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)		-	-
b. Leases, loans and advances to Chief Executive Officer and other senior executives		41,618	91,622
c. Leases, loans and advances to customer groups		-	-
d. Leases, loans and advances on sector basis:		-	-
i) Textiles		664,378,185	-
ii) Garments and accessories		-	-
iii) Transport (including Marine Transport)		3,200,000,000	3,800,000,000
iv) Chemicals and pharmaceuticals		-	-
v) Iron, steel and engineering		800,000,000	-
vi) Agricultural equipments and agro industries		-	-
vii) Power and energy		244,962,850	270,054,602
viii) Electronics and electrical		-	-
ix) Information technology (IT)		-	-
x) Paper printing and packaging		-	-
xi) Plastic		-	-
xii) Real estate and housing		-	-
xiii) Food and beverage		-	-
xiv) Glass and ceramics		467,547,146	102,481,875
xv) Services		1,202,611,111	518,692,706
xvi) Others		4,140,207,975	3,099,044,331
Sub-total		10,719,748,885	7,790,365,136
7.5 Leases, loans and advances on geographical basis			
Inside Bangladesh:			
Urban			
Dhaka Division		4,703,595,002	7,790,365,136
Chittagong Division		1,000,000,000	-
Khulna Division		-	-
Rajshahi Division		-	-
Barisal Division		-	-
Sylhet Division		-	-
Sub-total		5,703,595,002	7,790,365,136
Rural			
Dhaka Division		873,334,797	-
Chittagong Division		909,055,087	-
Khulna Division		-	-
Rajshahi Division		-	-
Barisal Division		-	-
Sylhet Division		3,233,763,999	-
Sub-total		5,016,153,883	-
Outside Bangladesh			-
Total		10,719,748,885	7,790,365,136



7.6 Classification of Leases, loans and advances**Unclassified**

Standard

10,719,707,267

7,790,365,136

Special mention account

-

-

Sub-total**10,719,707,267****7,790,365,136****Classified**

Sub-standard

-

-

Doubtful

-

-

Bad/Loss

-

-

Sub-total

-

-

Total**10,719,707,267****7,790,365,136****7.7 Particulars of loans, advances and leases**

i) Loan considered good in respect of which the Bank/ FI is fully secured

4,143,470,771

3,103,554,956

ii) Loan considered good for which the Bank/FI holds no other security than the debtor's personal security.

1,081,864,953

91,622

iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors

5,494,413,162

4,686,718,558

iv) Loan adversely classified; for which no provision is created.

-

-

10,719,748,885**7,790,365,136**

v) Loan due by directors or officers of the Bank/ FI or any of them either jointly or separately with any other persons.

-

-

vi) Loan due by companies and firms in which the directors of the Bank/FI have interests as directors, partners or managing agent or in case of private companies as members.

-

-

vii) Maximum total amount of advances, including temporary advances made at any time during the year to directors and managers or officers of the Bank/FI or any of them either severally or jointly with any other persons.

-

-

viii) Maximum total amount of advances, including temporary advances granted during the year to the companies or firms in which the directors of the Bank/ FI have interests as directors, partners or managing agents or, in case of private companies as members.

-

-

ix) Due from other bank/ FI companies

-

-

x) Information in respect of classified loans and advances:

-

-

a) Classified loans for which interest/ profit not credited to income

-

-

b) Amount of provision kept against loans classified as bad/ loss as at the Balance Sheet date

-

-



		Amount in Taka	
		2017	2016
c) Amount of interest credited to the interest suspense account		-	-
xi) Cumulative amount of written off loans:		-	-
Opening balance		-	-
Amount written off during the year		-	-
Amount received from written off during the year		-	-
Balance of written off loans and advances yet to be recovered		-	-
The amount of written off loans for which law suits have been filed.			
8 Bills purchased and discounted			
Payable inside Bangladesh		-	-
Payable outside Bangladesh		-	-
		-	-
9 Fixed assets including premises, furniture and fixtures:			
Cost:			
Opening balance	320,227,976	16,760,189	
Addition during the year	7,407,712	303,467,787	
	327,635,688	320,227,976	
Adjustment during the year	-	-	
Closing balance (A)	327,635,688	320,227,976	
Less: Accumulated Depreciation :			
Opening balance	23,848,129	8,908,132	
Charged during the year:	36,794,386	14,939,997	
	60,642,515	23,848,129	
Adjustment during the year	-	-	
Closing balance (B)	60,642,515	23,848,129	
Written down value (A-B) (Annexure -A)	266,993,173	296,379,847	
10 Other assets			
Advance income tax (Note -10.1)	2,662,388,461	2,265,245,371	
Interest receivables on FDR	73,640,613	94,462,441	
Interest receivables on STL	85,833	-	
Security deposit	63,975	63,975	
Advance to suppliers	22,542,483	830,255	
Office rent receivables	1,932,271	966,132	
Deferred tax assets (Note-10.2)	1,019,127	987,182	
Advance to staff	78,888	701,923	
Receivables against investment (Note-10.3)	71,148,602	62,852,428	
Bill receivables	1,554,899	-	
	2,834,455,153	2,426,109,706	

		Amount in Taka	
		2017	2016
10.1 Advance income tax			
Opening balance		2,265,245,371	2,606,744,317
Income tax deducted at sources		84,176,834	122,928,325
Paid during the year		312,966,256	693,844,719
Less: Adjustment of AIT (Assessment Year 2015-16)		-	1,158,271,990
		2,662,388,461	2,265,245,371
10.2 Deferred tax assets			
Opening balance		987,182	369,910
Deferred tax income during the year		31,946	617,272
		1,019,127	987,182
Tax deductible temporary difference			
Gratuity payable		2,397,947	2,322,781
Applicable tax rate		42.50%	42.50%
Closing deferred tax assets		1,019,127	987,182
10.3 Receivables against investment			
Dividend receivable (Note-10.3.1)		11,029,037	7,982,877
Interest receivable on commercial paper (Note-10.3.2)		56,419,444	53,587,500
Interest receivable on zero coupon bond (Note-10.3.3)		3,700,121	1,282,051
		71,148,602	62,852,428
10.3.1 Receivable in preference share			
Summit Barisal Power Ltd.		-	4,434,931
Summit Narayanganj Power Unit-II Ltd.		-	3,547,946
Rajlanka Power Company Ltd.		11,029,037	-
		11,029,037	7,982,877
10.3.2 Receivable in commercial paper			
MAX Infrastructure Ltd.		10,752,778	38,150,000
Durable Plastics Ltd.		-	7,104,167
Energy Pac Engineering Ltd.		-	8,333,333
Computer Source Ltd.		20,250,000	-
LankaBangla Finance Ltd.		25,416,667	-
		56,419,444	53,587,500
10.3.3 Receivable in bond			
IDLC zero coupon bond		3,700,121	1,282,051
		3,700,121	1,282,051
11 Non-financial institutional assets			
		-	-
12 Borrowings from banks, other financial institutions and agents			
Inside Bangladesh (Note - 12.1)		3,473,688	4,385,528
Outside Bangladesh (Note - 12.2)		-	-
		3,473,688	4,385,528
12.1 Inside Bangladesh			
Advance from BB Refinance Scheme		3,473,688	4,385,528
		3,473,688	4,385,528

		Amount in Taka	
		2017	2016
12.2 Outside Bangladesh		-	-
13 Deposits and other accounts		-	-
14 Other liabilities			
Provision for income tax (Note-14.1)	2,952,882,026	2,311,030,387	
Account payables (Note-14.2)	7,953,814	6,259,343	
Advance commercial space rent	966,129	966,129	
Provision for leases, loans, & advances	184,376,414	103,517,965	
Deferred tax liabilities (Note-14.3)	5,724,277	8,170,713	
Employee benefit liabilities (Note-14.4)	2,397,947	2,322,781	
Audit fees payable	90,000	65,000	
Security deposit payable	125,000	-	
Account payable - Borak Unique Heights	-	3,500,000	
Interest suspense account	20,250,000	-	
Interest payable	1,447	-	
	3,174,767,055	2,435,832,316	
14.1 Provision for income tax			
Opening balance	2,311,030,387	2,862,872,525	
Add: Addition during this year	641,851,639	606,429,852	
Less : Adjustment of AIT (Assessment Year 2015-16)	-	1,158,271,990	
Closing balance	2,952,882,026	2,311,030,387	
14.2 Account payables			
Salary payable	386,858	963,430	
Withholding tax	466,708	503,524	
Withholding VAT	1,066,871	803,622	
Bill payables	6,033,377	3,988,767	
	7,953,814	6,259,343	
14.3 Deferred tax liabilities			
Opening balance	8,170,713	604,592	
Deferred tax (income)/expense during the year	(2,446,436)	7,566,121	
	5,724,277	8,170,713	
Taxable temporary difference			
Carrying amount of fixed assets as per accounting base	266,993,173	296,524,594	
Carrying amount of fixed assets as per tax base	253,524,285	277,299,387	
Taxable temporary difference on fixed assets	13,468,888	19,225,206	
Applicable tax rate	42.50%	42.50%	
Closing deferred tax liabilities	5,724,277	8,170,713	
Deferred tax liabilities at the beginning of the year	8,170,713	604,592	
Deferred tax (income)/expense during the year	(2,446,436)	7,566,121	



14.4 Employee benefit liabilities

Gratuity payable - ED & CEO

Gratuity payable - Staff

Total

Paid during the year

Amount in Taka	
2017	2016
514,800	792,000
1,883,147	1,617,405
2,397,947	2,409,405
-	86,625
2,397,947	2,322,780

15 Share capital**15.1 Authorized capital**

1,000,000,000 ordinary shares of Tk. 100 each

100,000,000,000 100,000,000,000

15.2 Issued, subscribed & paid up capital

205,900,000 shares & 201,000,000 Shares @Tk 100 each

20,590,000,000 20,100,000,000

15.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guidelines of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core Capital)

Fully paid-up capital/ capital lien with BB

Statutory reserve

Non-repayable share premium account

General reserve

Retained earnings

Minority interest in subsidiaries

Non- cumulative irredeemable preference shares

Dividend equalization account

Others (if any item approved by Bangladesh Bank)

Sub-Total

20,590,000,000	20,100,000,000
1,402,828,685	1,242,007,225
-	-
-	-
651,314,740	648,028,901
-	-
-	-
-	-
-	-
22,644,143,424	21,990,036,126

Deductions from tier-1(Core capital)

Book value of goodwill and any value of any contingent assets which are shown as assets

Shortfall in provisions required against classified assets

Shortfall in provisions required against investment in share

Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities

Any investment exceeding the approved limit

Investments in subsidiaries which are not consolidated

Others (if any)

Sub-Total

-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-

Total eligible Tier-1 capital

22,644,143,424 21,990,036,126

2. Tier-2 (Supplementary capital)

General provision (Unclassified up to special limit+SMA+ off balance sheet exposure)

Assets revaluation reserves upto 50%

Revaluation reserve for securities upto 50%

All other preference shares

Others (if any item approved by Bangladesh Bank)

Sub-Total

Deductions, if any

Total eligible Tier-2 capital

134,376,414	103,517,965
-	-
-	-
-	-
-	-
134,376,414	103,517,965
-	-
134,376,414	103,517,965

		Amount in Taka	
		2017	2016
Total capital		22,778,519,838	22,093,554,091
Total risk weighted asset		15,216,900,000	7,984,306,514
Required capital		1,521,690,000	798,430,651
Surplus/(Deficit)		21,256,829,838	21,295,123,440
Capital Adequacy Ratio (CAR)		149.69%	276.71%
On core capital (Tier-1)		148.81%	275.42%
On supplementary capital (Tier-2)		0.88%	1.30%
16 Statutory reserve			
Opening balance		1,242,007,225	1,087,324,226
Add: Transferred during the year		160,821,460	154,682,999
Closing balance		1,402,828,685	1,242,007,225
According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.			
17 Other reserve		-	-
The company doesn't maintain any other reserve.			
18 Retained earnings			
Opening balance		648,028,901	849,296,903
Add: Net profit for the year		804,107,298	773,414,997
		1,452,136,199	1,622,711,900
Less: Transferred to statutory reserve		160,821,460	154,682,999
Less: Stock dividend transferred to paid up capital		490,000,000	700,000,000
Less: Cash dividend transferred to paid up capital		150,000,000	120,000,000
Closing balance		651,314,740	648,028,901



		Amount in Taka	
		2017	2016
19	Income statement		
19.1	Income		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note-20)	748,241,004	412,661,561
	Investment income (Note-22)	175,222,608	111,305,553
	Other operating income (Note - 23)	729,908,798	1,059,607,290
		1,653,372,411	1,583,574,404
19.2	Expenses		
	Interest expenses on deposits, borrowings etc. (Notes-21)	3,232,010	36,272,212
	Salary and allowances (Note-24)	39,034,424	25,482,859
	Rent, taxes, insurance, electricity etc. (Note-25)	3,663,665	5,228,062
	Legal expenses (Note-26)	728,641	2,691,756
	Postage, stamp, telecommunication etc. (Note-27)	1,553,885	2,117,637
	Stationery, printing, advertisement etc. (Note-28)	4,956,661	8,936,393
	Managing Director's salary and allowances (Note-29)	9,555,876	9,083,160
	Directors' fees (Note-30)	1,257,088	1,286,705
	Auditors' fees (Note-31)	120,050	104,200
	Charges on loan losses	-	-
	Depreciation and repairs of company's assets (Note-32)	38,826,235	25,582,091
	Other operating expenses (Note-33)	26,104,871	20,058,934
		129,033,405	136,844,009
20	Interest income on leases, loans and advances		
	Interest income from term loan (Note-20.1)	748,241,004	412,661,561
		748,241,004	412,661,561
20.1	Interest income from term loan		
	KSRM Billet Industries Ltd.	37,185,374	-
	Best Holdings Ltd.	43,519,295	-
	Mirsharai Economic Zone (MEZ)	3,910,976	-
	Imperial Hospital Ltd.	2,611,111	-
	Sinha Peoples Energy Ltd.	-	80,572,432
	Dharmapur Ceramic Industries Ltd.	9,724,210	-
	First Auto Bricks Ltd.	4,855,639	-
	Oddessy Craft (Pvt.) Ltd.	45,726,185	-
	ARB Enterprize	359,861	464,227
	First Dhaka Elevated Expressway (FDEE) Company Ltd.	358,250,000	123,323,928
	Regent Energy & Power Ltd.	27,400,229	33,480,946
	Srehatta Economic Zone	164,736,589	148,462,072
	Makrail Auto Bricks Ltd.	14,939,765	2,971,250
	Sea Pearl Beach Resort & Spa Ltd.	35,021,769	23,386,706
		748,241,004	412,661,561

		Amount in Taka	
		2017	2016
21 Interest expenses on deposits, borrowings etc.			
Interest expense on SOD loan - Rupali Bank Ltd.	-	10,551,152	
Interest expense on SOD loan - United Commercial Bank Ltd.	1,397,724	1,007,735	
Interest expense on SOD loan - IFIC Bank Ltd.	-	15,334,387	
Interest expense on SOD loan - IDLC Finance Ltd.	-	60,764	
Interest expense on SOD loan - First Security Islami Bank Ltd.	-	87,500	
Interest expense on SOD loan - NRB Global Bank Ltd.	-	324,167	
Interest expense on SOD loan - Farmers Bank Ltd.	988,364	3,956,500	
Interest expense on SOD loan - Janata Bank Ltd.	-	4,783,340	
Interest expense on SOD loan - Premier Bank Ltd.	-	166,667	
Interest expense on SOD loan - EXIM Bank Ltd.	280,000	-	
Interest expense on BB Refinance Scheme	565,921	-	
	3,232,010	36,272,212	
22 Investment income			
Interest income from commercial paper (Note - 22.1)	117,144,444	82,025,000	
Interest Income from bond (Note - 22.2)	8,113,337	1,282,051	
Dividend Income from preference share (Note - 22.3)	49,964,827	27,998,502	
	175,222,608	111,305,553	
22.1 Interest income from Commercial Paper			
Bangla Trac Ltd.	-	20,250,000	
LankaBangla Finance Ltd.	25,416,667	-	
Computer source Ltd.	5,625,000	8,187,500	
Max Infrastructure Ltd.	50,602,778	38,150,000	
Energy Pac Engineering Ltd.	11,666,667	8,333,333	
Durable Plastics Ltd.	23,833,333	7,104,167	
	117,144,444	82,025,000	
22.2 Interest Income from Bond			
IDLC zero coupon bond	8,113,337	1,282,051	
	8,113,337	1,282,051	
22.3 Dividend Income from Preference Share			
Summit Narayanganj Power Unit-II Ltd.	8,049,276	12,443,779	
Summit Barisal Power Ltd.	10,064,597	15,554,723	
Rajlanka Power Company Ltd.	31,850,954	-	
	49,964,827	27,998,502	
23 Other operating income			
Interest revenue (FDR)	706,605,190	1,004,857,271	
Interest on short term loan(STL)	200,556	-	
Interest on SND	5,497,210	27,823,305	
Revenue from fees (Note - 23.1)	11,774,450	21,690,078	
Income from office rent	5,831,392	5,236,636	
	729,908,798	1,059,607,290	
23.1 Revenue from fees			
Due diligence fees	990,363	1,924,239	
Loan application fees	880,000	612,725	
Participation fees	9,904,087	262,500	
Delinquency fees	-	18,518,114	
Agency fees	-	200,000	
Legal fees income	-	172,500	
	11,774,450	21,690,078	

		Amount in Taka	
		2017	2016
24 Salary and allowances			
Salary and allowances		33,438,705	22,705,788
Bonus		3,625,927	2,030,062
Gratuity provision		1,969,792	747,009
		39,034,424	25,482,859
25 Rent, taxes, insurance, electricity etc.			
Rent and taxes		1,784,298	2,462,394
Electricity and WASA bill		1,093,718	1,630,715
Health insurance premium		484,419	377,688
Insurance vehicle		301,230	757,265
		3,663,665	5,228,062
26 Legal expenses			
Legal expense		362,721	208,500
Renewal & registration		355,260	2,482,112
Stamp cost		10,660	1,144
		728,641	2,691,756
27 Postage, stamp, telecommunication etc.			
Postage and courier		15,016	212,397
Telephone, fax, internet and mobile		450,985	782,398
Internet & networking expense		487,884	445,992
Internet bandwidth charge(Broadband)		600,000	676,850
		1,553,885	2,117,637
28 Stationery, printing, advertisement etc.			
Printing and stationery		849,756	2,590,984
Advertisement and publicity		2,715,260	3,469,890
Books & periodicals		5,375	101,810
Business development expenses		324,120	2,773,709
Gift expenses		1,062,150	-
		4,956,661	8,936,393
29 Managing Director's salary and allowances			
Remuneration		7,694,676	7,499,160
Bonus		1,346,400	792,000
Gratuity		514,800	792,000
		9,555,876	9,083,160
30 Directors' fees			
Directors' fees		1,257,088	1,286,705
		1,257,088	1,286,705
31 Auditors' fees			
		120,050	104,200
32 Depreciation and repairs of company's assets			
Repair & maintenance		2,031,849	10,642,094
Depreciation on company's fixed assets (Annexure-A)		36,794,386	14,939,997
		38,826,235	25,582,091

		Amount in Taka	
		2017	2016
33 Other operating expenses			
Office maintenance		3,418,399	3,941,400
Training expenditure		1,233,216	2,091,647
Bank charge & commission		3,964,407	1,981,888
Entertainment expenses		1,801,972	2,205,860
Promotional expenditure		6,295,580	2,091,929
Consultancy fees		255,606	424,192
AGM expenditure		1,184,000	1,529,423
Donation & subscription		-	193,375
Office meeting expenses		-	245,321
Project site supervision expenses		2,393,560	613,742
Board meeting expenses		1,400,826	1,020,672
Tax consultant fees		368,000	-
Recruitment expenses		357,000	1,070,000
Membership expenses		203,450	400,000
CIB charges		618,922	662,666
CSR expenses		1,846,742	1,586,819
IT maintenance		763,191	-
		26,104,871	20,058,934
34 Provision for leases, loans and advances			
Provision for classified investment		50,000,000	-
Provision for unclassified leases, loans and advances		30,858,449	59,936,697
		80,858,449	59,936,697
35 Provision for income tax			
Current tax (Note-35.1)		641,851,639	606,429,852
Deferred tax (income)/expense during the year		(2,478,381)	6,948,849
		639,373,258	613,378,700
35.1 Current tax expense			
Income tax expense during the year		641,851,639	602,002,712
Previous year shortage of tax provision		-	4,427,140
		641,851,639	606,429,852
36 Earning per Share			
Earning per Share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33.			
Earning per Share has been calculated as follows:			
Net profit after tax		804,107,298	773,414,997
Number of ordinary shares outstanding		205,900,000	205,900,000
Earning per Share (restated)		3.91	3.76
The EPS for the year ended 31 December 2016 is being restated as 4,900,000 no. of stock dividend was issued for the year ended 31 December 2016.			
37 Related party disclosures			
The company doesn't have any transaction with related party.			

38 Unacknowledged debt

The company had no claim against it which has not been acknowledged as debt at the balance sheet date.

39 Receivable from directors

No amount is due from any of the directors of the company.

40 Disclosure regarding branch

As at December 2017, the company has no branch in or outside of Bangladesh.

41 Disclosure of Executive Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the year 2017.

42 Rounding off

Monetary figures in the Financial Statements have been rounded off to the nearest Taka.

43 Authorization for issue

The Board of Directors at its 62nd Meeting of the Board held on 11 March 2018, recommended to the shareholders a cash dividend Tk. 15 core and stock dividend Tk. 49 crore. This will be considered for approval by the shareholders at the 7th Annual General Meeting (AGM) to be held on 27 March 2018.

44 Events after the reporting period

There are no events after reporting period.



Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2017

Particulars	Cost				Rate	Depreciation				Amount in Taka	
	Balance as at 01.01.17	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.17		Balance as at 01.01.17	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.17	As at 31.12.17	As at 31.12.16
Computer & IT Equipment:											
Scanner & printer	457,232	97,600	-	554,832	33.33%	156,136	164,028	-	320,164	234,668	301,096
Desktop & laptop	3,306,476	754,560	-	4,061,036	33.33%	1,368,396	951,453	-	2,319,849	1,741,187	1,938,080
LT panel & Pfi plant & Pabx	805,282	11,800	-	817,082	33.33%	269,046	315,359	-	584,405	232,677	536,236
Multimedia projector	243,700	75,500	-	319,200	33.33%	60,985	100,158	-	161,143	158,057	182,715
Projector screen	20,000	-	-	20,000	33.33%	16,696	3,303	-	19,999	1	3,304
Wifi system	432,000	-	-	432,000	33.33%	77,318	143,986	-	221,304	210,696	354,682
Office equipment	3,117,899	125,504	-	3,243,403	20%	364,341	712,177	-	1,076,518	2,166,885	2,753,558
Electric meter	9,400	-	-	9,400	10%	3,760	940	-	4,700	4,700	5,640
WASA meter	5,980	-	-	5,980	10%	2,272	1,315	-	3,587	2,393	3,708
Civil construction	1,536,612	-	-	1,536,612	50%	857,136	679,476	-	1,536,611	1	679,477
Building	291,527,555	-	-	291,527,555	10%	10,761,712	29,152,756	-	39,914,468	251,613,087	280,765,843
Furniture	2,445,289	166,737	-	2,612,026	10%	345,266	227,951	-	573,217	2,038,809	2,100,023
Vehicle	16,035,191	6,176,011	-	22,211,202	20%	9,279,705	4,341,484	-	13,621,189	8,590,013	6,755,486
Sub total	319,942,616	7,407,712	-	327,350,328		23,562,769	36,794,386	-	60,357,155	266,993,173	296,379,847
Intangible Assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	285,360	-	-	285,360		285,360	-	-	285,360	-	-
Total	320,227,976	7,407,712	-	327,635,688		23,848,129	36,794,386	-	60,642,515	266,993,173	296,379,847



Highlights

(As per Bangladesh Bank guidelines)

Annexure -B

Sl No.	Key Indicators	Amount in Taka	
		2017	2016
1	Paid-up capital	20,590,000,000	20,100,000,000
2	Total capital	22,644,143,424	21,990,036,126
3	Capital surplus	21,256,829,838	21,295,123,440
4	Total assets	25,822,384,167	24,430,253,970
5	Total deposits	-	-
6	Total leases, loans, and advances	10,719,748,885	7,790,365,136
7	Total contingent liabilities and commitments	-	-
8	Cash deposit ratio	-	-
9	Percentage of classified loans against total leases, loans, and advances	-	-
10	Profit after tax and provision	804,107,298	773,414,997
11	Amount of classified loans during current period	-	-
12	Provision kept against classified loans	-	-
13	Provision surplus against classified loan	-	-
14	Cost of fund	-	-
15	Interest earning assets	22,679,638,725	21,649,160,535
16	Non-interest earning assets	3,142,745,443	2,781,093,435
17	Return on investment (ROI)	0.07	0.04
18	Return on assets (ROA)	0.03	0.03
19	Income from investment	175,222,608	111,305,553
20	Earnings per share (EPS)	3.91	3.76
21	Net income per share	3.91	3.76
22	Market price per share	-	-
22	Price earning ratio (Times)	-	-

